SME360 AI

BUSINESS PLAN

Building the Future with Vision and Strategy

2026

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STRATEGIC BUSINESS PLAN

A Comprehensive Feasibility, Strategic Direction & Implementation Blueprint

Prepared For: Kumodya Foods

Industry Category: Bakery / Food / Grocery | **Business Stage:** New Startup

Operating Location: Colombo, Western Province, Sri Lanka

Prepared Date: October 08, 2026

Decision System Reference: 5e8c7346-f61a-49e1-909e-d155404b95c9

This document synthesizes machine-learned feasibility assessment, explainable SHAP feature attribution, TOPSIS multi-criteria strategic prioritization, and sensitivity scenario stress-testing into an actionable strategic roadmap prepared specifically for the entrepreneur.

SECTION 01 — BUSINESS & MARKET OVERVIEW

1.1 Business Overview

Kumodya Foods is a proposed new startup venture within the **Bakery / Food / Grocery** sector, planned for launch in Colombo, Western Province, Sri Lanka. The enterprise is structured under a **Direct Retail / Service** model, providing commercial offerings tailored to the local market catchment. As a new venture in its initial setup phase, commercial priorities center on establishing initial operations, building customer awareness, and maintaining disciplined operating expenditure.

The business is structured to meet consumer demand in Colombo through focused service execution, relying on founder oversight and targeted local promotions to establish commercial presence.

1.2 Business Concept & Objectives

Strategic feasibility assessment for Kumodya Foods (new_startup Bakery / Food / Grocery) located in Colombo, Western Province, Sri Lanka.

- **Primary Commercial Offerings:** Products and commercial offerings in Bakery / Food / Grocery
- **Target Customer Profile:** Local consumers and households in Colombo
- **Foundational Objectives:** Establish a financially sustainable Bakery / Food / Grocery enterprise adhering to Hybrid Digital & Local Delivery Model.

1.3 Market Opportunity & Demand Analysis

The proposed enterprise is positioned to serve the **Colombo (Home Based Catchment)**. Based on the entrepreneur's planning assumptions, initial daily patronage is estimated at approximately **8 customers per day**, with an expected average unit price of **LKR 150.00**. Operating across an estimated **26 days per month**, the facility anticipates a monthly customer throughput of approximately **208 customer interactions**.

The recorded customer demand score for this business profile is **78/100**. This indicates that demand development and neighborhood visibility will serve as important priorities during the initial launch phase, requiring active local marketing to capture and sustain the anticipated footfall volume.

1.4 Competition & Location Dynamics

The local competitive environment is recorded with a competition level of **Moderate**. Specific nearby direct competitor counts were not provided in current business inputs. To secure customer loyalty, the positioning strategy emphasizes: *Differentiation via digital channel expansion & low fixed cost and localized customer value proposition.*

The operating location in Colombo holds a suitability rating of **4/5** within a **Home Based** setting. Accessibility, consumer foot traffic, and proximity to regional commercial nodes in Colombo. Commercial operations will focus on direct customer service, operational reliability, and targeted local engagement.

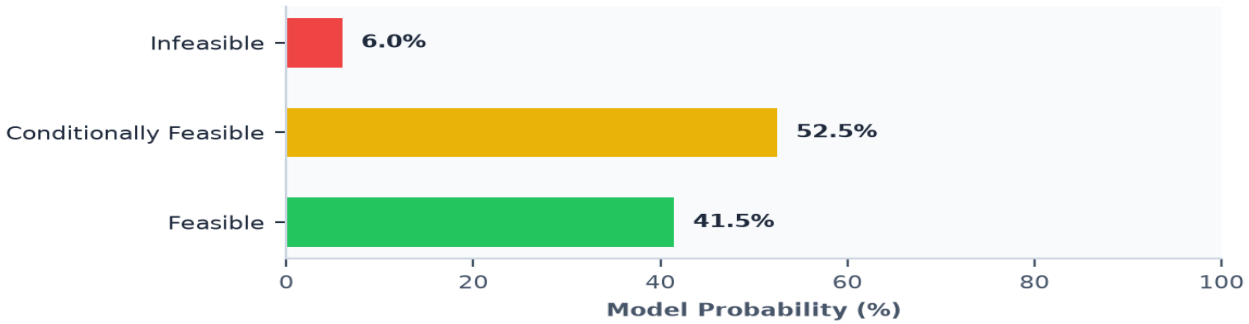
SECTION 02 — AI FEASIBILITY & KEY INSIGHTS

2.1 AI Feasibility Assessment

Based on the integrated evaluation of financial capital, market demand, operational staffing, and resource readiness, SME360 AI assesses **Kumodya Foods** as **Conditionally Feasible** with a predicted class probability of **52.5%**. The multi-class Random Forest feasibility model assigns a predicted probability of **52.5%** to Conditionally Feasible, **41.5%** to Feasible, and **6.0%** to Infeasible. The feasibility model developed in this study was trained and evaluated using the dataset used for this research. This classification indicates that while the business demonstrates commercial potential, specific operational hurdles and working capital safeguards should be addressed during setup.

ASSESSMENT VERDICT: CONDITIONALLY FEASIBLE (Predicted Class Probability: 52.5%)

Class Probabilities: Feasible: **41.5%** | Conditionally Feasible: **52.5%** | Infeasible: **6.0%**



2.2 Why Did the AI Reach This Assessment? (Explainable AI Attribution)

To provide decision-support transparency, SME360 AI uses SHAP (SHapley Additive exPlanations) values to determine how specific business parameters influenced the model's classification. Rather than claiming absolute causality, SHAP identifies features that contributed positive supporting weight toward feasibility versus those that applied downward pressure as operational hurdles.

Primary Positive Supporting Factors:

- **Expected Product Price (Lkr) (LKR 150):** Favorable recorded condition for Expected Product Price (Lkr) (LKR 150) contributed positive support to the model feasibility prediction.
- **Business Stage New (New Startup):** Favorable recorded condition for Business Stage New (New Startup) contributed positive support to the model feasibility prediction.
- **Proposed Action Start (start):** Favorable recorded condition for Proposed Action Start (start) contributed positive support to the model feasibility prediction.

Operational Hurdles Requiring Management Attention:

- **Available Staff Count (2 Staff):** Constraint in Available Staff Count (2 Staff) contributed downward pressure to the model prediction, highlighting an operational or capital hurdle.
- **Expected Daily Customers (8 / day):** Constraint in Expected Daily Customers (8 / day) contributed downward pressure to the model prediction, highlighting an operational or capital hurdle.
- **Customer Demand Score (1-100) (78 / 100):** Constraint in Customer Demand Score (1-100) (78 / 100) contributed downward pressure to the model prediction, highlighting an operational or capital hurdle.

SECTION 03 — STRATEGIC RECOMMENDATIONS & TOPSIS RANKING

3.1 Strategic Alternatives & Direction

Based on the feasibility diagnosis and identified operational constraints, SME360 AI formulated four tailored strategic pathways for **Kumodya Foods**. Rather than proposing a generic one-size-fits-all plan, each alternative represents a distinct operational philosophy balancing capital intensity, channel deployment, and resource constraints.

Strategy #1: Hybrid Digital & Local Delivery Model

Strategic Focus: Digital Channel Expansion & Low Fixed Cost — Combine small physical footprint with online ordering, social commerce, and local delivery partnerships to maximize customer reach in Colombo.

Expected Impact: Balanced Growth with Controlled Operating Expenditure

Target Capital: LKR 300,000 | **Monthly Budget:** LKR 21,250 | **Target Footfall:** 8 Customers/Day | **TOPSIS Closeness:** 0.7467

Strategy #2: Lean Bootstrapped Launch (Kumodya Foods)

Strategic Focus: Risk Mitigation & Capital Preservation — Optimize initial setup for Kumodya Foods by operating lean. Focus on essential equipment and low-cost marketing to mitigate constraint around Available Staff Count.

Expected Impact: High Risk Reduction (+15% Feasibility Probability)

Target Capital: LKR 240,000 | **Monthly Budget:** LKR 18,750 | **Target Footfall:** 6 Customers/Day | **TOPSIS Closeness:** 0.5914

Strategy #3: Market Expansion & Customer Acquisition (Kumodya Foods)

Strategic Focus: Demand Generation & High Volume — Invest heavily in targeted local promotions and location visibility for Kumodya Foods to overcome Moderate competition level and capture high market demand.

Expected Impact: High Revenue Potential (Requires Micro-Loan buffer)

Target Capital: LKR 440,000 | **Monthly Budget:** LKR 31,250 | **Target Footfall:** 10 Customers/Day | **TOPSIS Closeness:** 0.4194

Strategy #4: Premium Quality & Niche Differentiation

Strategic Focus: High Margin & Customer Loyalty — Focus on premium product quality, customized service, and unique branding to achieve higher pricing margins without depending on huge customer footfall.

Expected Impact: High Profit Margin Stability

Target Capital: LKR 360,000 | **Monthly Budget:** LKR 22,500 | **Target Footfall:** 5 Customers/Day | **TOPSIS Closeness:** 0.3037

3.2 Strategy Prioritization (TOPSIS Multi-Criteria Method)

The strategic alternatives were evaluated using the TOPSIS (Technique for Order of Preference by Similarity to Ideal Solution) decision methodology. The evaluation simultaneously weighed five validated criteria: **Financial Viability (25%)**, **Implementation Feasibility (20%)**, **Market Demand Alignment (25%)**, **Resource & Operational Friction (15%)**, and **Resource Efficiency (15%)**. The table below summarizes the multi-criteria ranking:

Rank	Strategy Alternative	Strategic Focus	Target Capital	TOPSIS Score
#1	**Hybrid Digital & Local Delivery Model**	Digital Channel Expansion & Low Fixed Cost	LKR 300,000	0.7467
#2	**Lean Bootstrapped Launch (Kumodya Foods)**	Risk Mitigation & Capital Preservation	LKR 240,000	0.5914
#3	**Market Expansion & Customer Acquisition (Kumodya Foods)**	Demand Generation & High Volume	LKR 440,000	0.4194
#4	**Premium Quality & Niche Differentiation**	High Margin & Customer Loyalty	LKR 360,000	0.3037

Under this multi-criteria analysis, **Hybrid Digital & Local Delivery Model** attained the highest relative closeness score (**0.7467**), establishing it as the AI engine's preferred strategic recommendation.

3.3 Entrepreneur Strategic Decision (Human-in-the-Loop Integration)

ACTIVE OPERATING STRATEGY: Hybrid Digital & Local Delivery Model (Matches AI Rank #1)

The entrepreneur reviewed the alternatives and confirmed the adoption of the AI's highest-ranked recommendation, **Hybrid Digital & Local Delivery Model** (TOPSIS Score: 0.7467). The subsequent financial, operational, and implementation plans are directly calibrated to this strategy.

SECTION 04 — FINANCIAL & OPERATIONAL PLAN

4.1 Financial Overview — Aligned with Hybrid Digital & Local Delivery Model

To operationalize the chosen strategy, the enterprise establishes a target capital allocation of approximately **LKR 300,000**. Under the baseline operating budget, recurring monthly operational expenditure is projected at **LKR 21,250**, covering commercial rent, essential payroll, utilities, and routine replenishment inventory. With an expected customer throughput of **8 customers per day**, an expected unit price of **LKR 150.00**, and an operating schedule of **26 days per month**, estimated monthly gross sales total approximately **LKR 31,200**. *(Note: This is an estimated monthly gross sales calculation based on stated volume, price, and operating days. It does not account for variable costs or net profit.)*

TARGET CAPITAL	MONTHLY BUDGET	EST. GROSS SALES	BUDGET COVERAGE
LKR 300,000	**LKR 21,250**	**LKR 31,200**	**14.1 Mo (Strat)**
Baseline Allocation	Operating Expenditure	Volume × Price × Days	Simplified Budget Ratio

4.2 Funding Structure & Simplified Budget Coverage

The business financing structure comprises **LKR 400,000** in recorded available capital and **LKR 0** in external loan financing, delivering total initial funding of **LKR 400,000**. Comparing available capital against the target requirement (LKR 300,000) indicates that the venture is **fully funded from baseline capital**. Under the baseline operating budget, simplified budget coverage corresponds to approximately **14.1 months** for the strategy allocation and **14.1 months** for total recorded funds. *(Note: Simplified budget coverage represents a capital-to-budget ratio and does not constitute a guaranteed survival period, as it does not model cash flow cycles or unforeseen costs.)*

4.3 Operational Plan & Resource Allocation

Staffing & Workforce Management:

The enterprise currently deploys **2 active staff member(s)** against an estimated requirement of **2**, representing a **Balanced staffing allocation**. Daily workflow will emphasize clear task specialization and cross-training across front-of-house customer relations and stock management to maintain service continuity during peak hours.

Equipment Readiness & Facilities:

Available equipment readiness is rated at **2/5**, currently satisfying operational requirements (Supplemental machinery/fixtures required). To avoid upfront capital strain, essential commercial fixtures will be prioritized during initial deployment, supplemented by preventive maintenance routines and supplier warranty coverage to avoid unscheduled downtime.

Supplier Logistics & Sourcing Policy:

Regional supplier availability is rated at **4/5** for Colombo SME Vendor Network. Sourcing strategy will establish commercial terms with reliable suppliers for critical inventory to safeguard against stockouts, while maintaining controlled initial order quantities to optimize working capital.

4.4 Marketing & Customer Acquisition Strategy

Customer acquisition will concentrate on building awareness within the Colombo catchment through **Word of Mouth & Local Channels**. The marketing framework pairs local community engagement with selective promotional tactics designed to encourage trial and repeat patronage:

- Deploy local awareness campaigns tailored for Kumodya Foods in Colombo.
- Introductory bundle promotions to encourage first-time trials.
- Customer loyalty cards to maximize repeat purchases.

SECTION 05 — SCENARIO ANALYSIS & ACTION ROADMAP

5.1 What-If Scenario Sensitivity Analysis

To evaluate business resilience before committing capital, SME360 AI simulated four prospective operational shifts. These scenarios represent sensitivity simulations rather than guaranteed future outcomes, highlighting how adjustments in capital, credit, footfall, and operating costs alter the feasibility prediction:

Scenario: +50% Capital Injection

Simulation Objective: Test sensitivity to additional equity or family capital injection.

Model Impact: Predicted Class: **Conditionally Feasible** | Viability Index Shift: **+0.0%**

Class Shifts (Percentage Points): Feasible Δ: **+0.0 percentage points**

Analytical Takeaway: Viability index: 67.8% -> 67.8% (+0.0%). Class shifts: Feasible (+0.0%), Conditional (+0.0%), Infeasible (+0.0%).

Scenario: Secured SME Working Loan (LKR 500,000)

Simulation Objective: Assess impact of formal bank credit line.

Model Impact: Predicted Class: **Conditionally Feasible** | Viability Index Shift: **-8.8%**

Class Shifts (Percentage Points): Feasible Δ: **-8.0 percentage points**

Analytical Takeaway: Viability index: 67.8% -> 59.0% (-8.8%). Class shifts: Feasible (-8.0%), Conditional (-1.5%), Infeasible (+9.5%).

Scenario: +30% Customer Footfall Boost

Simulation Objective: Simulate successful targeted marketing & footfall growth.

Model Impact: Predicted Class: **Conditionally Feasible** | Viability Index Shift: **+0.2%**

Class Shifts (Percentage Points): Feasible Δ: **+0.0 percentage points**

Analytical Takeaway: Viability index: 67.8% -> 68.0% (+0.2%). Class shifts: Feasible (+0.0%), Conditional (+0.5%), Infeasible (-0.5%).

Scenario: Optimized Operating Cost (-20% Monthly Budget)

Simulation Objective: Test lean operational efficiency impact.

Model Impact: Predicted Class: **Conditionally Feasible** | Viability Index Shift: **+0.0%**

Class Shifts (Percentage Points): Feasible Δ: **+0.0 percentage points**

Analytical Takeaway: Viability index: 67.8% -> 67.8% (+0.0%). Class shifts: Feasible (+0.0%), Conditional (+0.0%), Infeasible (+0.0%).

5.2 Capital Boundary Search (Counterfactual Simulation)

Boundary Search Finding: Multiple operational dimensions (capital, demand, equipment) require joint enhancement.

Insight: Under the tested scenario assumptions, parameter boundary search explores capital adjustments associated with class shifts. Adjusting capital alone does not guarantee a higher classification, as viability depends jointly on demand volume, equipment readiness, and cost discipline. This search identifies sensitivity boundaries under tested conditions and does not represent a global optimum.

5.3 Time-Phased Execution Roadmap & Milestones

The implementation roadmap translates strategic recommendations into time-phased execution milestones across four distinct operational horizons:

Phase 1: Operational Setup & Supplier Sourcing (0 – 30 Days):

- Register 'Kumodya Foods' and obtain local municipal authority permits.
- Launch Hybrid Digital model for Kumodya Foods: establish social ordering channels and finalize local delivery agreements in Colombo.
- Finalize wholesale supplier contracts and credit payment terms.
- Establish basic accounting and working capital cash control.

Phase 2: Customer Acquisition & Burn Control (30 – 90 Days):

- Launch targeted promotional marketing to attain 8 daily customers.
- Monitor monthly operating burn closely against LKR 21,250.00 budget.
- Review supplier fulfillment reliability and minimize product wastage.
- Collect direct customer feedback on pricing and service quality.

Phase 3: Operational Stabilization & Review (3 – 6 Months):

- Conduct quarterly financial review and audit working capital runway.
- Optimize inventory reorder quantities based on validated top-selling SKUs.
- Evaluate marketing conversion and repeat customer retention rate in Colombo.

Phase 4: Commercial Scale & Strategy Review (6 – 12 Months):

- Assess potential commercial expansion or delivery radius extension in neighboring commercial hubs.
- Re-run SME360 AI Feasibility pipeline with actual 12-month empirical operational figures.
- Evaluate reinvestment of retained operating surplus into supplemental equipment.

5.4 Key Management Monitoring Measures

To track operational reality against planning assumptions, management should monitor these operational indicators regularly (Note: These represent management monitoring measures, not model predictions):

Monitoring Measure	Target Metric	Review Frequency	Focus Category
Monthly Revenue	LKR 31,200.00	Monthly	Financial
Daily Customer Count	8 Customers / Day	Daily	Operational
Operating Budget Compliance	≤ LKR 21,250.00 / Month	Monthly	Cost Control
Capital Runway Horizon	≥ 14.1 Months	Quarterly	Liquidity
Customer Retention Rate	≥ 40% Repeat Patrons	Quarterly	Marketing

5.5 Operational Constraints & Practical Management Considerations

- **Capital Limitation & Cash Flow Squeeze:** Enforce strict working capital controls; phase non-essential capital expenditures and maintain lean inventory levels.
- **Staff Capacity & Experience Shortage:** Establish standardized operating checklists and cross-train team members across both front-of-house and inventory roles.
- **Equipment Readiness & Maintenance:** Prioritize vital equipment only; arrange supplier servicing warranties to eliminate unscheduled operational downtime.
- **Local Competitor Saturation:** Execute consistent customer differentiation tailored to 'Digital Channel Expansion & Low Fixed Cost'; introduce loyalty perks to build localized defensibility.

FINAL AI DECISION RECOMMENDATION

Following comprehensive evaluation across financial, market, operational, and algorithmic criteria, SME360 AI assesses **Kumodya Foods** as **Conditionally Feasible**. The entrepreneur has selected **Hybrid Digital & Local Delivery Model** to guide execution, establishing a realistic operating framework attuned to current capital and market capacity. The primary positive enabler supporting the enterprise is **Expected Product Price (Lkr)**, while the primary operational hurdle requiring proactive management is **Available Staff Count**. The recommended immediate action is to **register 'kumodya foods' and obtain local municipal authority permits.**

AI FEASIBILITY ASSESSMENT: CONDITIONALLY FEASIBLE (Predicted Class Probability: 52.5%)

AI RECOMMENDED STRATEGY: Hybrid Digital & Local Delivery Model

ENTREPRENEUR SELECTED STRATEGY: Hybrid Digital & Local Delivery Model (Matches AI Rank #1)

PRIMARY POSITIVE ENABLER: Expected Product Price (Lkr)

PRIMARY OPERATIONAL HURDLE: Available Staff Count

IMMEDIATE ACTION STEP: Register 'Kumodya Foods' and obtain local municipal authority permits.

Assumptions & Analytical Disclosures:

- The feasibility model developed in this study was trained and evaluated using the dataset used for this research.
- Financial projections assume operating days and steady unit pricing based on provided business inputs.
- Simplified budget coverage represents a capital-to-budget ratio and does not constitute a guaranteed survival period.
- The entrepreneur should perform on-the-ground market and supplier validation before committing heavy capital investments.